MACROECONOMICS

MACRO-57

Time: 6 minutes

Outcome: Trace fiscal and financial shocks through saving, NCO, FX, NX, and AD.

Difficulty: ●●○ Advanced

Open-Economy Policy and Macroeconomic Transmission

THE CORE IDEA

Open-economy policy analysis connects several markets. A larger budget deficit lowers public and national saving, raises the real interest rate, reduces investment and NCO, and shifts the supply of dollars left. With dollar demand fixed, the dollar appreciates and net exports fall. The NX decline and investment crowding out can partly offset the direct aggregate-demand effect of higher government purchases.

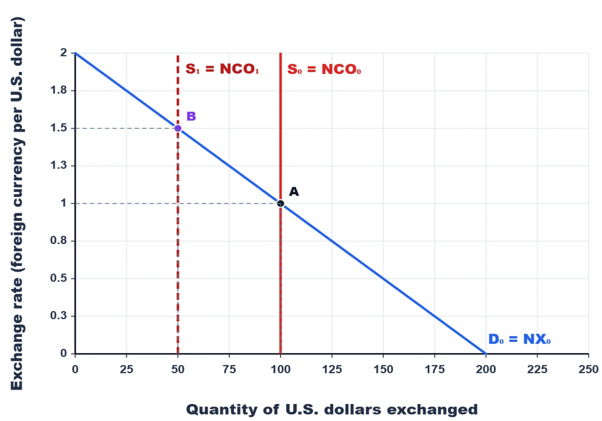
HOW TO RECOGNIZE IT

- Write the chain market by market; do not skip from policy directly to the exchange rate.
- Higher domestic real rates lower NCO by making domestic assets relatively attractive.
- Lower NCO means fewer dollars supplied in the FX market.
- Dollar appreciation makes U.S. goods relatively dearer and reduces NX.

WATCH OUT

Do not claim a fixed quantitative offset or that every fiscal expansion changes output by the same amount. The model identifies directions; magnitudes depend on responses across markets.

WORKED EXAMPLE: FROM A DEFICIT TO NET EXPORTS



Suppose a deficit raises the real rate and lowers NCO. In the graph, dollar supply falls from NCO0 = 100 to NCO1 = 50. Equilibrium moves from A to B, and the exchange rate rises from 1.0 to 1.5 foreign units per dollar. Dollar appreciation reduces NX; higher rates also crowd out some investment.

CHECK YOURSELF

Capital flight raises NCO. Trace the likely directions of dollar supply, the dollar's value, and NX.

READY? Return to the game and master this concept.